

Genuine Parts Company

Business Development Dossier

Industry	Automotive / Industrial Distribution
Revenue	\$24.3B
Employees	58,000
Ideal Customer Profile Score	65

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name	Genuine Parts Company
Headquarters	Atlanta, Georgia
Founded	1928
Ownership	Public (NYSE: GPC). 70 consecutive years of increased dividends (Dividend Aristocrat).
Footprint	17 countries, 10,800+ locations. U.S., Canada, Mexico, UK, France, Germany, Belgium, Netherlands, Poland, Australia, New Zealand. Global Automotive (NAPA, Repco, Traction) \$15.4B. Global Industrial (Motion) \$8.9B.

SECTION 1b

Company Overview

Genuine Parts Company (GPC) is a global distributor of automotive and industrial replacement parts, operating NAPA Auto Parts in North America and Alliance Automotive Group in Europe. Founded in 1928, GPC serves over 600,000 customers through 10,000+ distribution points worldwide.

SECTION 2

Financial Health & Growth Stage

Understanding Genuine Parts Company's financial position and trajectory is critical to framing any engagement conversation.

Revenue: FY2025 \$24.3B (+3.46%). Auto \$15.4B, Industrial \$8.9B. FY2025 GAAP net loss \$(609M) - driven by \$825M non-cash pension settlement charge. Adj. net income \$216M. FY2026 guidance: \$25.0-25.6B (3-5.5% growth), adj. EPS \$7.50-8.00. \$225-250M transformation costs in 2026. Consensus Buy (33% Strong Buy, 33% Buy, 33% Hold). Raymond James Strong Buy \$145; Evercore \$160. Pressures: auto margin compression, tariffs, separation execution risk. Tailwinds: \$200M savings achieved, separation expected to unlock value, Dividend Aristocrat confidence.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Will Stengel - President & CEO; Chairman-Elect [PRIORITY TARGET]

~20 years exec experience. President/CEO HD Supply Facilities Maintenance; COO/CCO HD Supply. Strategic BD at Home Depot. Investment banking at Bank of America. Vanderbilt MBA; Trinity College Hartford.

Outreach rationale: Architect of separation. His original title was 'Chief Transformation Officer' - this was always the mandate. Must stand up two independent companies with distinct cultures, leadership, operating models, and boards.

Jenn Hulett - EVP & Chief People Officer [PRIORITY TARGET]

Previously EVP CHRO at Dollar Tree (~\$28B revenue, 200K+ employees); EVP CHRO at Core-Mark International; VP HR at Ericsson North America; HR leadership at GE.

Outreach rationale: Less than 2 years in role facing the most significant people/culture challenge in GPC's 97-year history - splitting 58K employees into two companies. Newness to GPC may make her more open to external advisory.

Additional leadership team members relevant to the engagement:

Bert Nappier - EVP & CFO

16 years at FedEx (EVP Finance & Treasurer; President FedEx Express Europe; CEO TNT Express integration). Director SEC Reporting at Wright Medical. Ernst & Young, Arthur Andersen.

Naveen Krishna - EVP, Chief Information & Digital Officer

Leads digital transformation and technology strategy.

Alain Masse - President, North America Automotive

Joined GPC 2011 at UAP Inc. (Canadian automotive); President UAP 2015. Will likely lead standalone Global Automotive.

James Howe - President, Motion Industries

Will likely lead standalone Global Industrial entity.

Matthew A. Carey - Independent Director (Elliott appointee)

Former EVP & CIO at The Home Depot

Court D. Carruthers - Independent Director (Elliott appointee)

Former President/CEO TricorBraun; former executive at Grainger

SECTION 4**Organizational Culture & Structure**

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Genuine Parts Company operates today and where friction exists.

Organizational Structure

Historically decentralized holding company with two major operating groups running semi-independently. Separation formalizes de facto dual-operating model. 17 countries, 10,800+ locations.

Culture Signals

Glassdoor ~3.4/5 (535+ reviews); 56% recommend. Culture & Values 3.2; Career Opportunities 3.1 (lowest). Positives: profit sharing, 401(k), collaborative coworkers, stable employment. Negatives: 'stuck in the 80s' - slow to change, resistant to modernization; 'upper management out of touch with floor'; many 15-30 year employees resistant to new ways; hierarchical decision-making conflicting with speed needed. Pension termination (2025) = breaking with legacy structures.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Genuine Parts Company.

1. 2026-02-17 - Announced separation into two public companies - Global Automotive (NAPA) and Global Industrial (Motion) by Q1 2027

Once-in-a-century transformation requiring new leadership structures, cultures, operating models for both entities.

2. 2025-09-04 - Elliott Investment Management cooperation agreement; \$1B+ activist stake; two new board directors

Activist pressure accelerates timeline and raises stakes. Leadership under external scrutiny.

3. 2024-08-19 - New CPO (Jenn Hulett) hired from Dollar Tree

New CPO signals people/culture strategy reset. She has <2 years institutional context - may welcome external advisory.

4. 2024-06-01 - CEO transition: Stengel elevated from President to CEO

New CEO with transformation mandate. Original title was 'Chief Transformation Officer' - separation is the culmination.

5. 2025-06-09 - North America Auto leadership restructured - Breaux retiring, Masse promoted to new President role

Leadership transition in largest segment ahead of separation. Building the team for standalone \$15B+ company.

6. 2026-01-15 - Board leadership transition - Stengel named Chairman-Elect; Donahue retiring

Consolidation of authority in Stengel - one leader carrying enormous load through separation.

7. 2025-12-01 - \$825M non-cash pension settlement charge; \$175M restructuring savings achieved

Breaking with legacy structures (pension) while executing cost transformation. Simultaneous financial and structural stress.

SECTION 6

McChrystal Fit Assessment

Tier 1 prospect - large industrial undergoing most transformative event in 97-year history. Corporate separation + activist pressure + new leadership + culture challenges + global complexity. Timing ideal: separation announced but execution just beginning (Q1 2027 target).

Primary Problem

Separating a 97-year-old, \$24B company with 58,000+ employees across 17 countries into two independent public companies - each needing its own leadership, culture, operating model, board, and strategic identity - while executing multi-hundred-million restructuring, navigating activist pressure, and managing volatile tariff environment. This is a leadership, organizational design, and execution-under-pressure problem.

Best McChrystal Capability Fit

Organizational design - designing two standalone operating models from one. Team of Teams - both entities need cross-functional alignment rapidly (automotive spans 10,800+ locations across 17 countries). Leadership development - new teams moving from 'division heads' to 'independent company leaders.' Culture change - 'stuck in the 80s' culture must now move at separation speed.

Likely Objections to Engagement

Have McKinsey/Bain/BCG advising on separation structure
Managing costs tightly
New CPO handling people/culture internally
Elliott watching spend closely

Competitive Advisory Landscape

McKinsey/BCG/Bain - separation economics and strategy
Korn Ferry - leadership assessment / talent
AlixPartners - restructuring/cost savings execution
PwC - Laurie Schupmann (39yr PwC veteran) just nominated to board
McChrystal differentiator: execution and leadership, not strategy decks. Separating a unified command into two independent operating units while maintaining effectiveness is precisely what JSOC has done.

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

- 1. You're standing up two \$10B+ public companies from one 97-year-old organization in ~12 months. What's been harder - separating the systems and processes, or separating the identity and culture?**
- 2. With Elliott on your board and the separation clock ticking, how are you thinking about the leadership bench for two independent companies - especially the layer below C-suite where execution actually happens?**
- 3. Your Glassdoor reviews describe a culture that's been stable for decades. Stability is a strength - until you need 58,000 people to move in a new direction fast. How are you shifting that culture without losing what made it work for 97 years?**

Recommended Meeting Framing

Frame around separation execution, not strategy. 'The strategy for why you're separating is clear. The hard part is getting 58,000 people across 17 countries to operate as two distinct, high-performing organizations while it's happening. That's a leadership and organizational challenge - the kind of problem we were built to solve.' The military analogy of separating a unified command into two independent operating units is not forced - it is the GPC situation.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Genuine Parts Company's market positioning to potential McChrystal engagement opportunities.

Brand Value & Competitive Standing: Genuine Parts Company (GPC) is a Fortune 200 distributor operating iconic brands: NAPA Auto Parts (#1 U.S. auto parts aftermarket brand), Motion (industrial distribution), and international automotive brands (AAG in Australasia, Alliance Automotive in Europe). NAPA's brand recognition is among the highest in automotive retail - virtually every American knows the NAPA name.

Brand Identity Evolution: GPC is splitting into two independent public companies - automotive and industrial distribution. This is the most significant brand architecture decision in the company's 97-year history. Post-separation, each entity must build its own corporate brand identity while leveraging the established consumer brands (NAPA, Motion).

Marketing Leadership & Strategy: NAPA's marketing is consumer-facing (TV, digital, sponsorships - notably NASCAR's NAPA Racing) while Motion's marketing is B2B/industrial. The separation means each company can optimize marketing investment for its specific customer base without cross-subsidizing.

Brand Threats: Amazon and digital-first distributors eroding traditional distribution models. AutoZone and O'Reilly competing aggressively in DIY auto parts. Industrial distribution facing e-commerce disruption from Grainger and Amazon Business. The separation itself creates brand confusion - customers may not understand the new corporate identity.

Major Brand Investments: NAPA Racing (NASCAR sponsorship), NAPA's 6,000+ U.S. store network, Motion's industrial distribution network, and international brand portfolios (AAG, Alliance Automotive).

McChrystal Connection: Separating a 97-year-old company into two requires every function to be duplicated, every shared service to be split, and every employee to understand which entity they belong to. The brand coordination challenge - ensuring NAPA and Motion each maintain their market position through the disruption - depends on organizational execution that McChrystal's operating model provides.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Genuine Parts Company. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Corporate Separation as Organizational Design Challenge

Splitting a 97-year-old, \$24B company with 58,000 employees across 17 countries into two independent public

companies is among the most complex organizational transformations possible. Every function - IT, HR, Finance, Legal, Procurement, Real Estate - must be duplicated or split. McChrystal designs the separation operating model that prevents operational disruption during the split. McKinsey advises on separation strategy; McChrystal builds the coordination system that executes it across 58,000 employees.

Fit Dimension 2: Dual-Entity Culture Creation

Each new entity needs its own culture, values, operating norms, and identity. Employees who spent decades as "GPC people" must develop loyalty to a new corporate identity. McChrystal's shared consciousness methodology accelerates cultural formation in newly independent organizations - proven in military unit stand-ups and corporate spinoffs.

Fit Dimension 3: International Coordination During Separation

Operations across 17 countries mean the separation must comply with different corporate, tax, labor, and regulatory requirements in each jurisdiction. Cross-border coordination at this scale during a separation is where organizational complexity peaks. McChrystal's distributed operations model prevents geographic silos from stalling the global separation timeline.

9b. Cumulative Case

GPC is executing one of the most significant corporate separations in U.S. industrial history. Signal chain: 97-year-old company -> activist pressure -> separation decision -> two independent public companies -> 58,000 employees across 17 countries -> every function split -> dual cultures created -> iconic brands (NAPA, Motion) maintained through disruption. Revenue potential: \$500K-\$600K initial (separation operating model), \$1.5M-\$2M deployment, \$500K ongoing. Total: \$2.5M-\$3.5M over 24 months.

9c. Enterprise Issues

1. Shared Service Separation: IT systems, financial reporting, HR platforms, procurement contracts, and real estate leases must all be untangled. Each shared service is a mini-separation project.
2. Talent Allocation: 58,000 employees must be assigned to one entity or the other. Shared roles (corporate IT, finance, HR) face uncertainty about which entity they'll join - or whether their role will exist at all.
3. Customer Continuity: NAPA's 6,000+ stores and Motion's industrial customers must experience zero disruption during separation. Any supply chain hiccup damages the brands.
4. International Complexity: Each of 17 countries has different requirements for corporate restructuring, tax treatment, labor law compliance, and regulatory approval. Coordination prevents cascading delays.
5. TSA Management: Transitional Service Agreements between the two entities will be necessary but create ongoing coordination complexity. TSA design affects both entities' independence timelines.
6. Board and Governance Stand-Up: Each entity needs its own board, governance structure, executive team, and investor relations function. Building two complete corporate governance structures simultaneously is a major undertaking.
7. Day 1 Readiness: Both entities must be fully operational as standalone companies on separation day. Any gap in capability creates operational risk.

9d. Expected Outcomes

1. Separation Operating Cadence: Cross-functional coordination system managing 20+ separation workstreams simultaneously. Measurable: separation milestones on-track with <10% variance.
2. Day 1 Readiness: Both entities fully operational on separation date. Measurable: zero unplanned operational disruptions at separation.
- 3.

Customer Continuity: Store/customer-level service maintained through separation. Measurable: customer satisfaction scores stable or improved. 4. Talent Retention: Critical employees retained through separation uncertainty. Measurable: voluntary attrition of top performers <8%. 5. Dual Culture Launch: Each entity has distinct identity, values, and operating norms at separation. Measurable: employee identification with new entity >70% within 6 months.

9e. Key Stakeholders

CEO

Leader: Will Stengel, President & CEO
 Role: Separation leadership
 McChrystal Relevance: Executive sponsor

CFO

Leader: Bert Nappier, EVP & CFO
 Role: Financial separation
 McChrystal Relevance: Budget gatekeeper

NAPA / Automotive

Leader: [President, Automotive]
 Role: Largest business unit
 McChrystal Relevance: Priority: Store network continuity

Motion / Industrial

Leader: [President, Industrial]
 Role: Second entity
 McChrystal Relevance: Priority: Standalone readiness

CHRO

Leader: [Chief People Officer]
 Role: Talent allocation, dual cultures
 McChrystal Relevance: Priority: Organizational design

CIO

Leader: [Chief Information Officer]
 Role: IT system separation
 McChrystal Relevance: TSA and systems splitting

Legal

Leader: [General Counsel]
 Role: International regulatory compliance
 McChrystal Relevance: Cross-border coordination

Separation PMO

Leader: [SVP Separation]
 Role: Program management
 McChrystal Relevance: Priority: Execution coordination

9f. Opportunity Thesis

Why Now: Separation announced - execution window is 12-24 months. Every week of delay increases cost and

risk. The operating model design for separation must happen in the first 90 days.

Why McChrystal, Not McKinsey: McKinsey and Deloitte likely advise on separation strategy and IT carve-out. But the 58,000-person organizational coordination - ensuring both entities are ready on Day 1 - is McChrystal's lane. Military base stand-ups and unit separations are the direct analog.

Phased Engagement: Phase 1 (\$500K-\$600K): Separation operating model design + Day 1 readiness framework. Phase 2 (\$1M-\$1.5M): Enterprise deployment across all separation workstreams. Phase 3 (\$500K retainer): Through separation and 6-month post-separation stabilization. Total: \$2M-\$2.5M.

Multi-Threaded Pursuit: Separation PMO lead (coordination), CHRO (org design), and CFO/CEO (executive sponsor). Industrial distribution industry events; Atlanta business community (GPC HQ).